

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$116.68 ▼ 0.56%	12M Price Target \$140.00	52-Week Range \$63.52 – \$153.86	Market Cap \$104.90B
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HOOD: Prediction Markets Boom Meets NFL Season Kickoff

WHAT HAPPENED

- Stock is drifting down ~0.6% today after a monster 16% pop last Wednesday (Sept 3) on huge volume — that spike was the market waking up to the prediction markets story. Today's dip is just profit-taking, not a change in thesis.
- Cathie Wood added more HOOD to ARK funds (she's been trimming AMD and Palantir to fund it) — that's a real vote of confidence from a high-profile growth investor, and it's why the stock isn't dropping harder on a red day for financials.

WHY IT MATTERS

The NFL season kickoff is a bigger deal for HOOD than most people realize — their event contracts (basically legal betting markets on real-world outcomes) just got their biggest seasonal catalyst. The American Gaming Association is "throwing a flag" (complaining to regulators) because they see prediction markets eating into traditional sportsbook revenue — which tells you HOOD is winning share fast enough that incumbents are scared. Meanwhile the Crypto.com partnership expands their prediction markets reach internationally, layering a second growth engine on top of the core brokerage. Bottom line: HOOD is morphing from "meme stock broker" into a diversified retail finance platform, and the market is only halfway through repricing that.

POLICY & POLITICAL WATCH

The big fight is at the CFTC (the derivatives regulator) — the current administration has been notably friendlier to prediction markets than the prior one, and the AGA is lobbying hard to have them reclassified as gambling (which would kneecap HOOD's event contracts business). Watch for any CFTC guidance in Q4 — if they formally bless event contracts, HOOD gets a regulatory moat; if they punt to states, it gets messy. Separately, the crypto market structure legislation making its way through Congress would give HOOD's crypto arm clearer rules of the road — passage is a straightforward tailwind since ambiguity has been the main thing holding institutional crypto flow back.

IS IT EXPENSIVE?

At ~\$117, you're paying roughly 25x forward revenue and ~63x forward earnings — that's expensive by any normal financial-stock standard (Schwab trades at ~15x earnings). But HOOD isn't really a broker anymore — it's growing revenue 40%+ with three optionality bets (crypto, prediction markets, international) that traditional brokers don't have. The premium is justified if even one of those bets scales; it's not if regulators clamp down.

WHAT COULD GO WRONG

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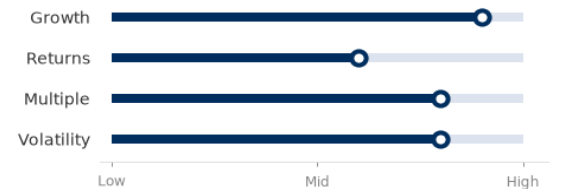
AI-Generated Pre-Market Brief | 2026-09-09 16:53 UTC

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Key Data

Price (USD)	\$116.68
12M Price Target	\$140.00
Upside / (Downside)	+20.0%
Market Cap	\$104.90B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,350M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	63.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$135.00	\$120.00	\$105.00
6 Months	\$160.00	\$135.00	\$95.00
1 Year	\$185.00	\$140.00	\$85.00
2 Years	\$240.00	\$175.00	\$70.00
5 Years	\$400.00	\$260.00	\$60.00
10 Years	\$700.00	\$400.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy and Tech are the only green sectors today — tech continues to benefit from the AI capex cycle and a friendly regulatory backdrop for crypto/fintech under the current administration.

COOLING OFF: Healthcare (-3% on the week) is getting hit on drug pricing headlines, and Financials are flat as rate-cut expectations get repriced. HOOD sits in Financials on paper but trades like a tech/crypto hybrid — that's why it's outperforming the sector.

ROTATION WATCH: Money is rotating out of "old fintech" (traditional banks, payment networks) and into "new fintech" with crypto exposure — HOOD, COIN, and the stablecoin-adjacent names are the direct beneficiaries.

RELATED PLAY: If prediction markets are the story, the exchanges that host these contracts (like Kalshi, which is private, or CME which has been expanding event contracts) are the picks-and-shovels play. On the crypto side, COIN moves in near-lockstep with HOOD's crypto narrative.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulatory tailwind — clearer rules mean more institutional flow.
- SOFI (SoFi Technologies): Retail fintech benefiting from rate-cut expectations and a friendlier regulatory posture toward fintech charters.

HOOD CONTEXT: HOOD is LEADING the fintech peer group right now — it's up ~85% off the 52-week low vs. more modest moves in COIN and SOFI. That leadership tells you HOOD has the best story in the group (prediction markets is genuinely differentiated), but it also means it'll be first to sell off if the risk-on trade unwinds. Leaders lead in both directions.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — This is one of the cleanest growth stories in fintech right now with multiple optionality bets and options flow that's screaming bullish (put/call ratio of 0.47 means calls are outweighing puts nearly 2-to-1).

POSITION SIZE: 3-5% — real conviction but the volatility (52-week range of \$63 to \$154) demands discipline; don't oversize.

ENTRY POINTS: I'd add on any pullback to \$105-110; if we get a broader market flush to \$95-100, back up the truck.

TIME HORIZON: 12-24 months — the catalysts I'm waiting for are Q3 and Q4 earnings (will show prediction market monetization) and CFTC clarity.

WHEN TO BAIL: If the CFTC formally reclassifies event contracts as gambling, or if a quarter shows crypto revenue down more than 30% sequentially — those are thesis-breakers.

HEDGING: Simplest hedge is just trimming into strength — take some off at \$145+ so you're playing with house money. If you want a real hedge, buying cheap out-of-the-money puts 3 months out costs you a little insurance premium but caps your downside if regulators surprise.